

Autel Robotics (688208.SH) - Initiating Coverage

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Investment Thesis

We initiate coverage of Autel Robotics with a BUY rating and a 12-month target price of RMB 78. Autel is a leading designer of professional drones and intelligent diagnostics, with an expanding footprint in industrial inspection and public safety. We see three drivers: (1) share gains in enterprise UAV as Western buyers diversify away from incumbents; (2) attach-rate upside from payload and software subscriptions; (3) operating leverage as the new Shenzhen line ramps through 2026.

Key Financials (RMB mn)

Metric	FY24	FY25E	FY26E
Revenue	4,210	5,480	7,020
Gross margin	52.1%	53.4%	54.0%
Net income	402	631	928
Diluted EPS	0.95	1.49	2.19

Risks & Valuation

Key Risks

- Export-control and tariff overhang on dual-use UAV components.
- Competitive pricing from incumbents could compress attach-rate economics.
- FX translation: a meaningful share of revenue is USD/EUR denominated.
- Execution risk on the Shenzhen capacity ramp into 2026.

Valuation

Our RMB 78 target is set on 35x FY26E EPS of RMB 2.19, a premium we justify by above-peer revenue CAGR (28%) and a widening software mix. A bear case of RMB 52 assumes margin reversion to 50% and a 25x multiple; a bull case of RMB 104 assumes subscription attach reaching 30% of installed base by FY27.

Catalysts (next 6 months)

1. FY25 results and FY26 capacity guidance.
2. New enterprise payload launch at the spring trade show.
3. Potential inclusion in the STAR50 index review.